

London Office Market Analysis

Group 17

Michael Chang
Katrina Zhao
Tony Liu



Agenda

- 01** Objectives and scope
- 02** Economic analysis
- 03** Demographic analysis
- 04** Office market analysis
- 05** Investment suggestion

Objectives and scope

Objectives

- To evaluate the feasibility of initiating new office space developments within Hiccup Real Estate Ltd's land bank in London.
- Focus on short-term (1–3 years) market conditions to provide data-driven recommendations to the board.

Scope

Major Submarkets Characteristics:

- *The West End*: Vibrant commercial areas; High demand for high-quality, boutique office space.
- *City & Southbank*: Financial hubs with evolving tenant expectations.
- *Docklands*: Multinational corporate hub with fluctuating demand for flexibility.

Market Analysis

- Economic indicators: GDP, employment, inflation, interest rates, and business confidence.
- Demographic trends: Population growth, income levels, and sectoral employment.

Supply & Demand Dynamics

- Supply: Overall stock, new construction activity, completed construction, construction costs
- Demand: Take-up, lease terms, vacancy rates, rent levels, active requirements, absorption

Economic analysis – Key economic metrics show strong business confidence in the next 3 years



Unemployment Rate ↓

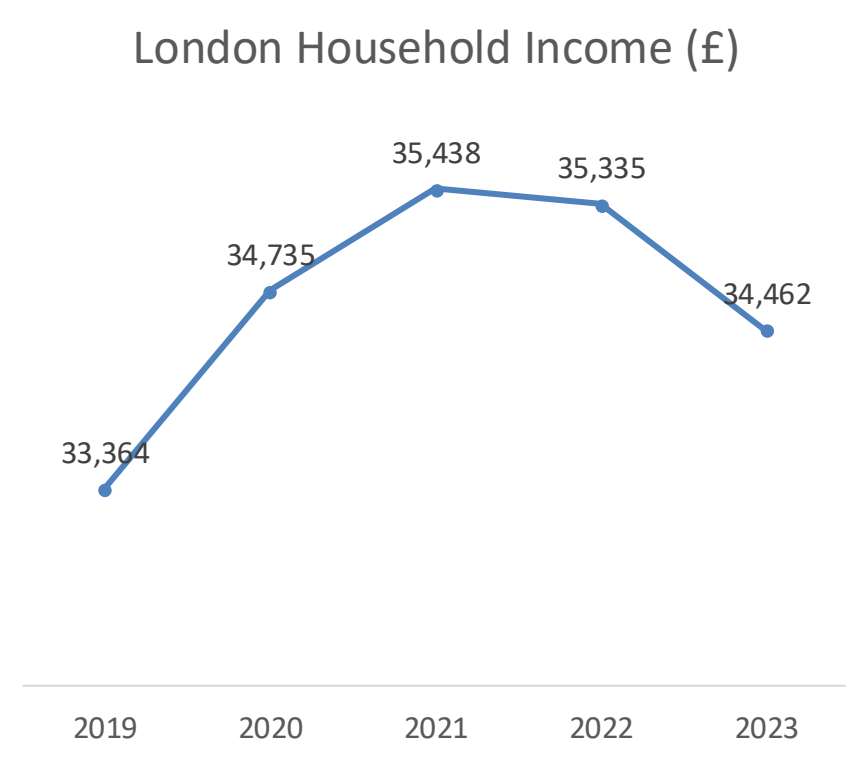
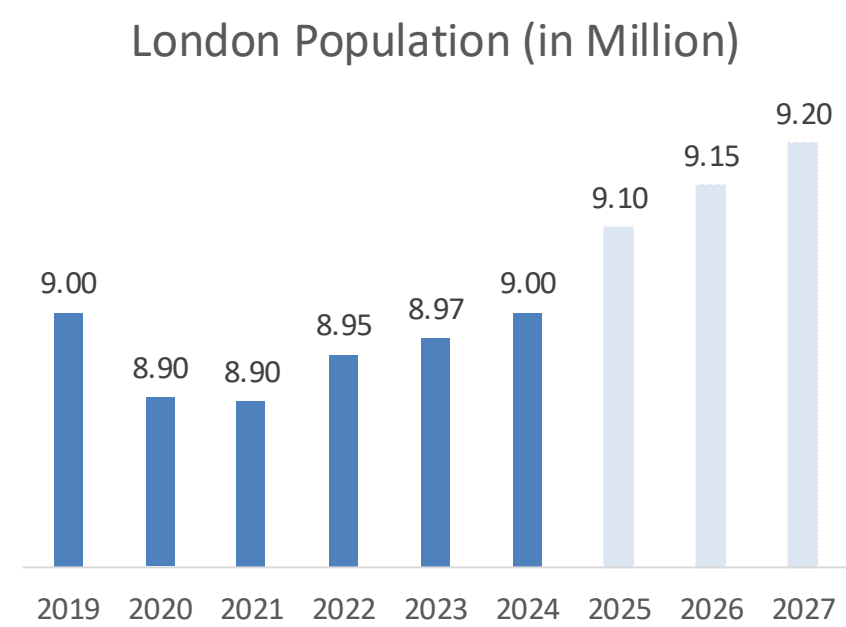
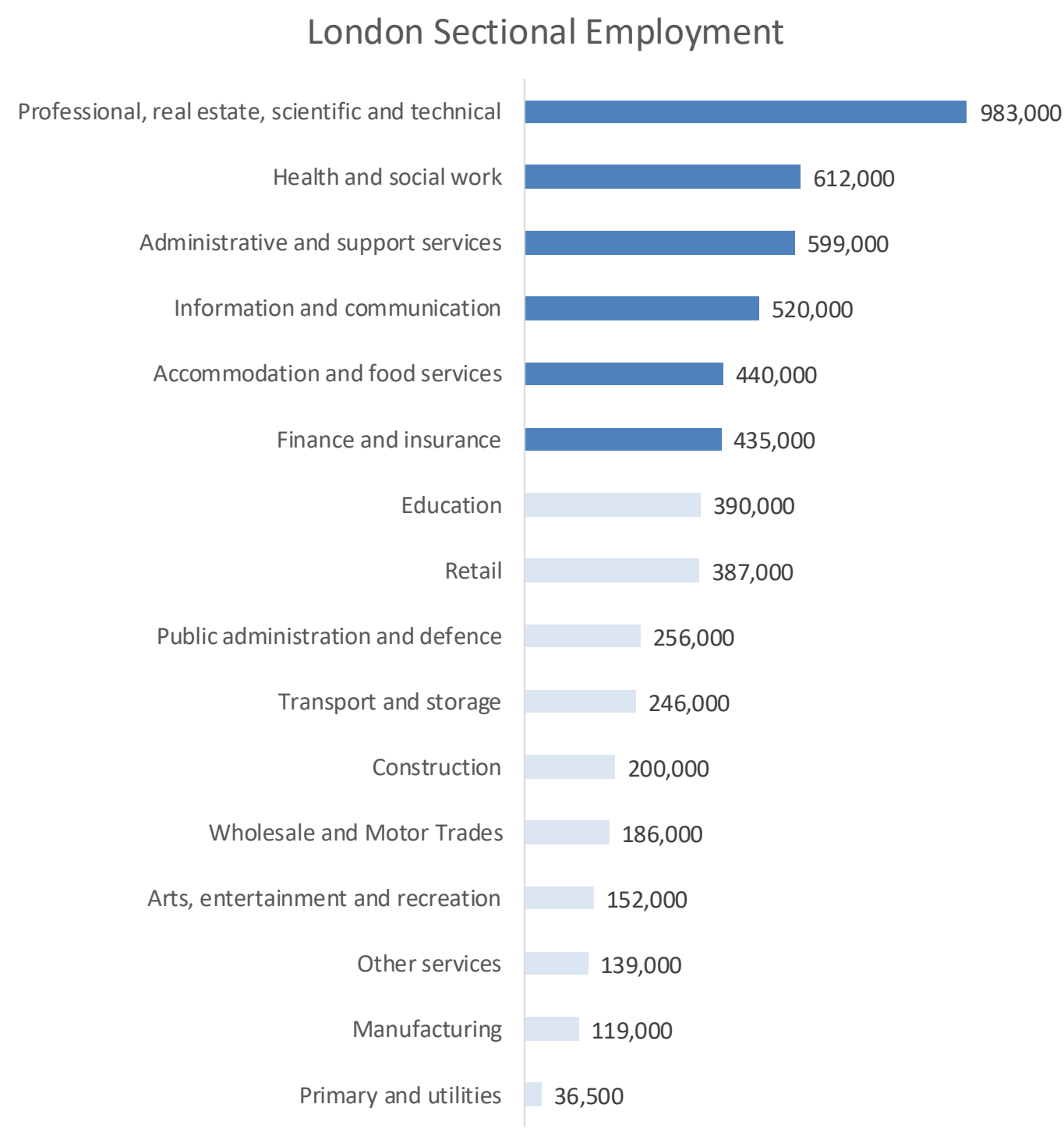
Interest Rate ↓

Inflation Rate ↓

GDP Growth ↑

Business Confidence ↑

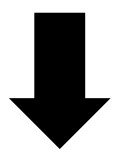
Demographic analysis – The population is booming, filled with well-educated people, but the decrease in income is concerning



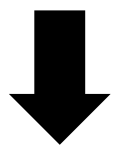
46.7% of Londoners hold college degrees or higher

The national average is **33.8%**

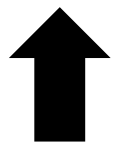
Population



Household Income

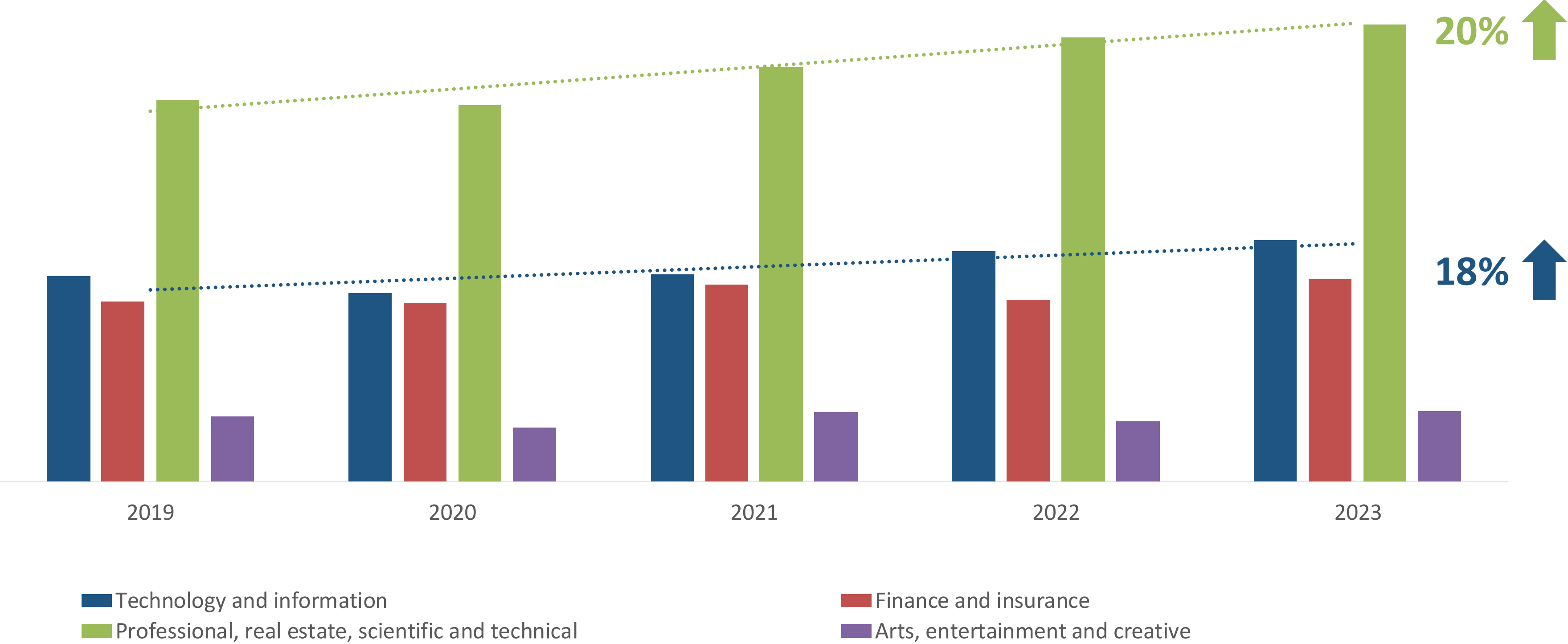


Education level



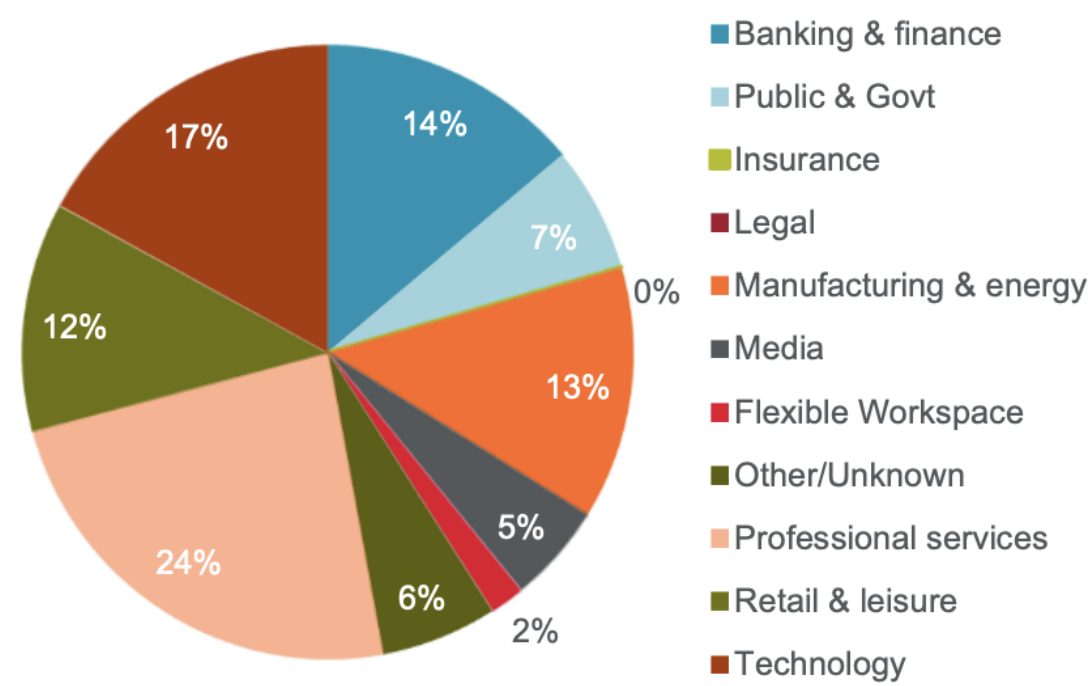
Source: London Datastore, Greater London Authority, Office for National Statistics

The growth of technology and the professional industry will drive the demand in The West End and The City & Southbank

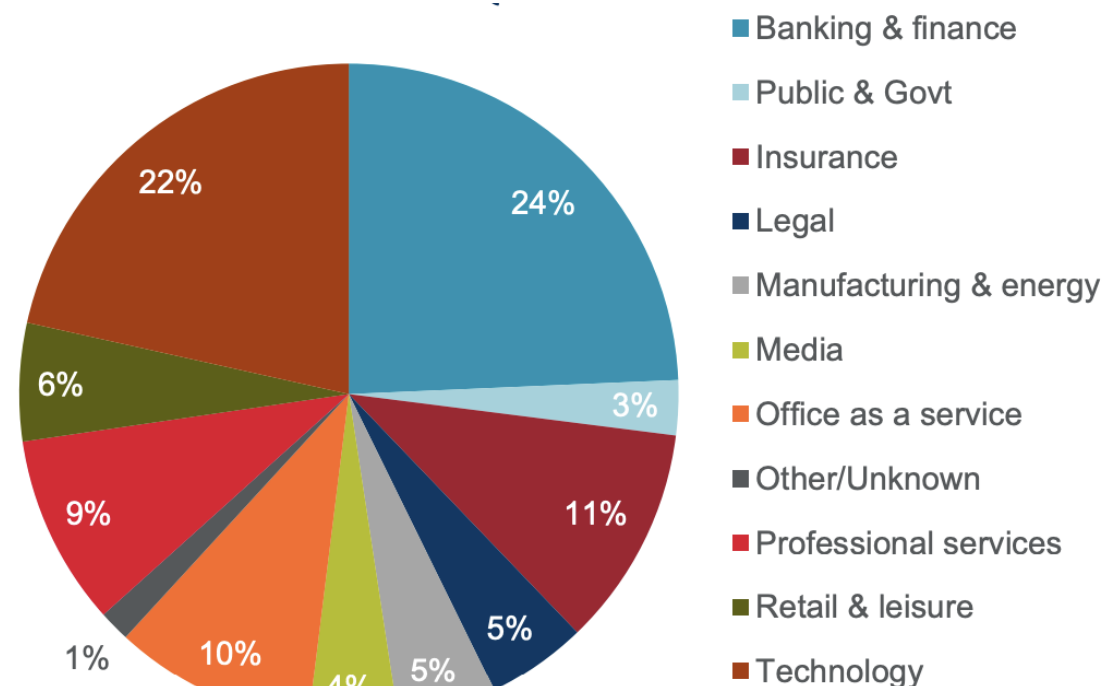


Diverse tenant in The City & Southbank and The West End, while Dockland relies on banking & finance and public sector

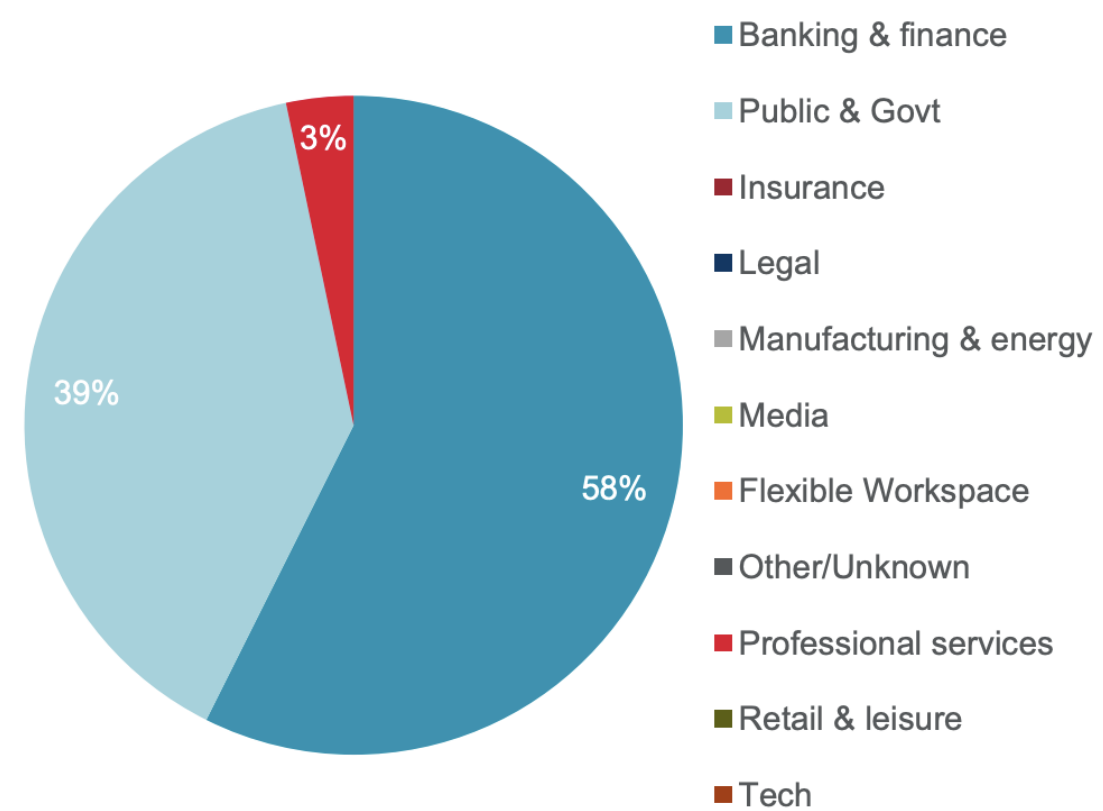
The West End



The City & Southbank

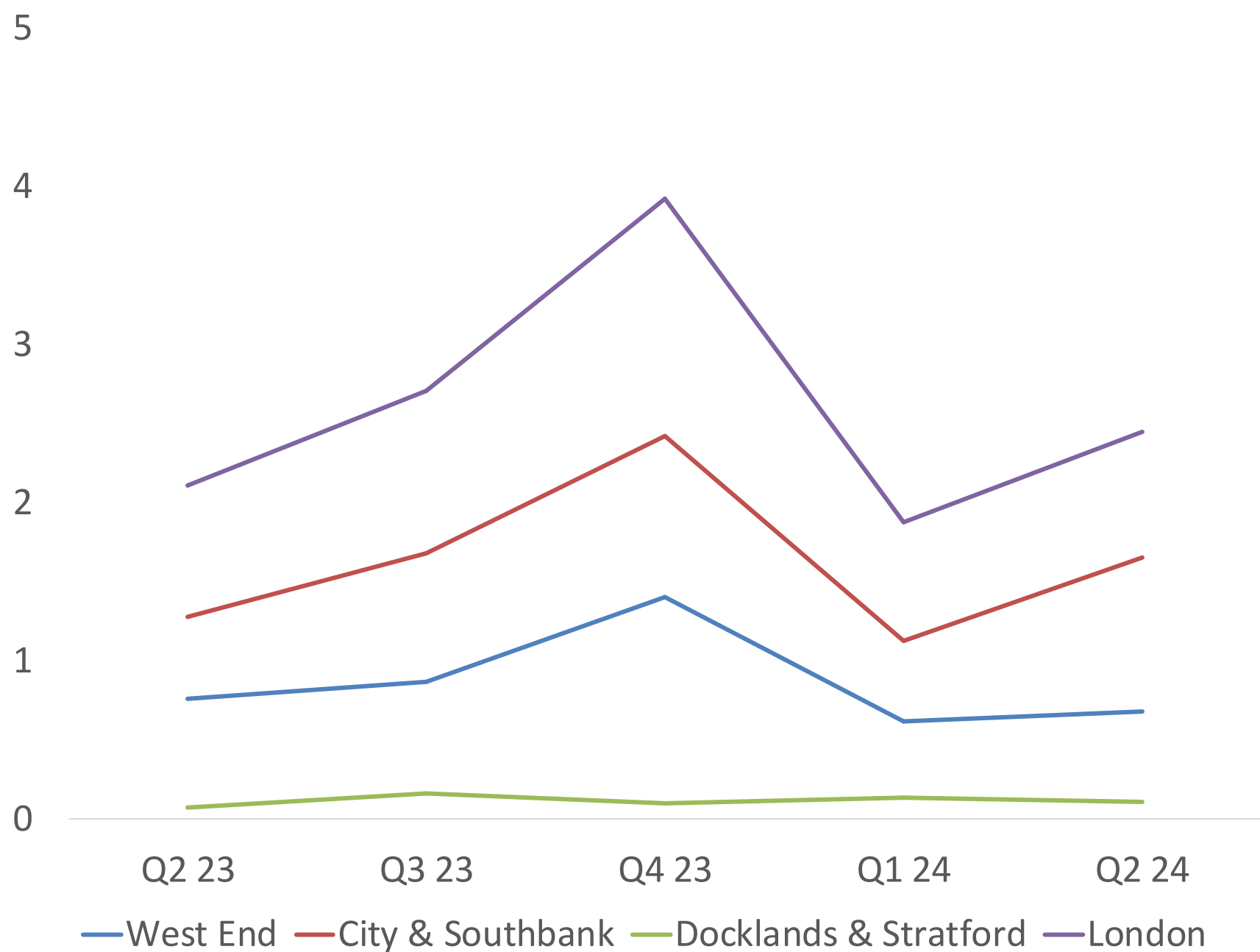


Dockland

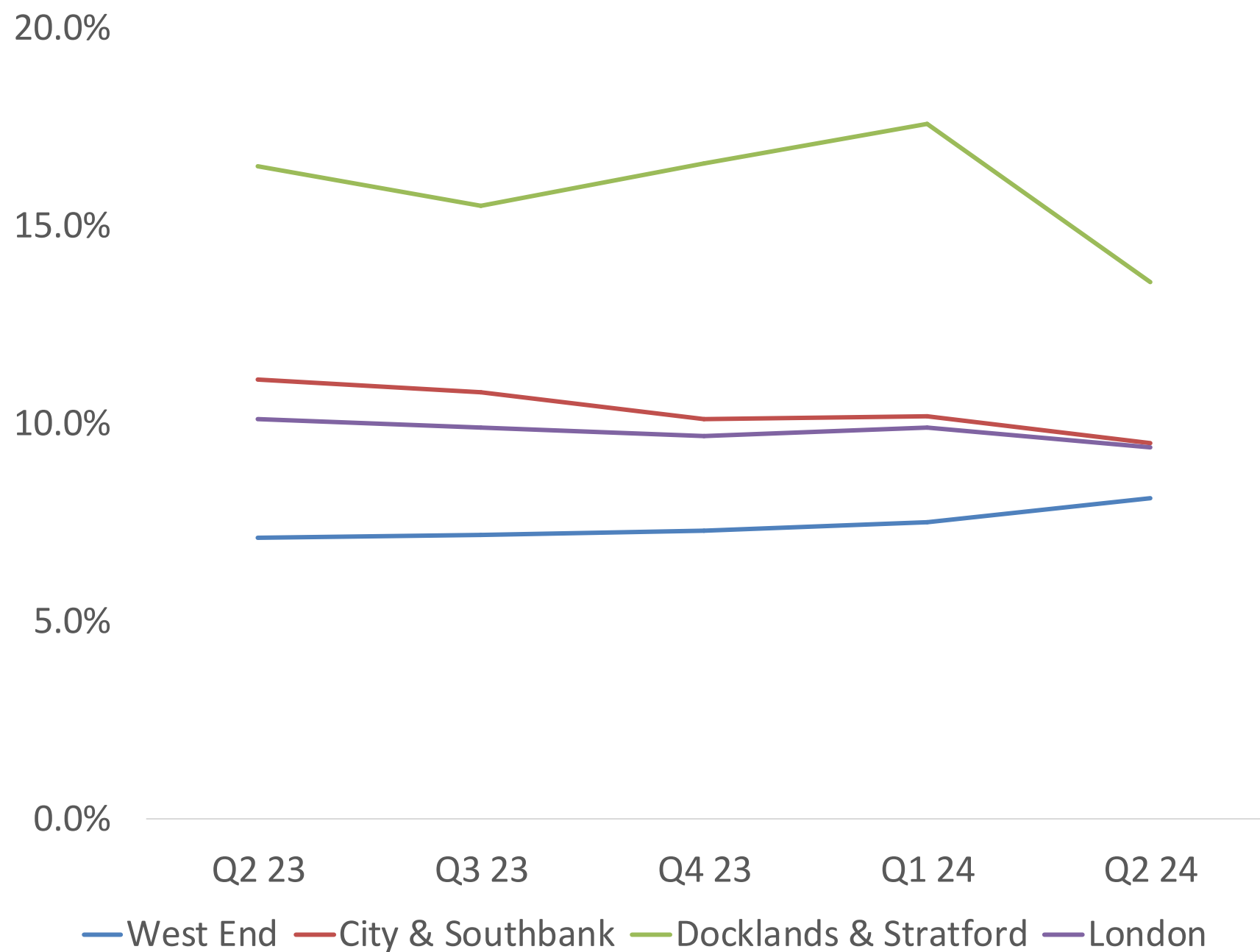


Demand - Take-up and vacancy rate

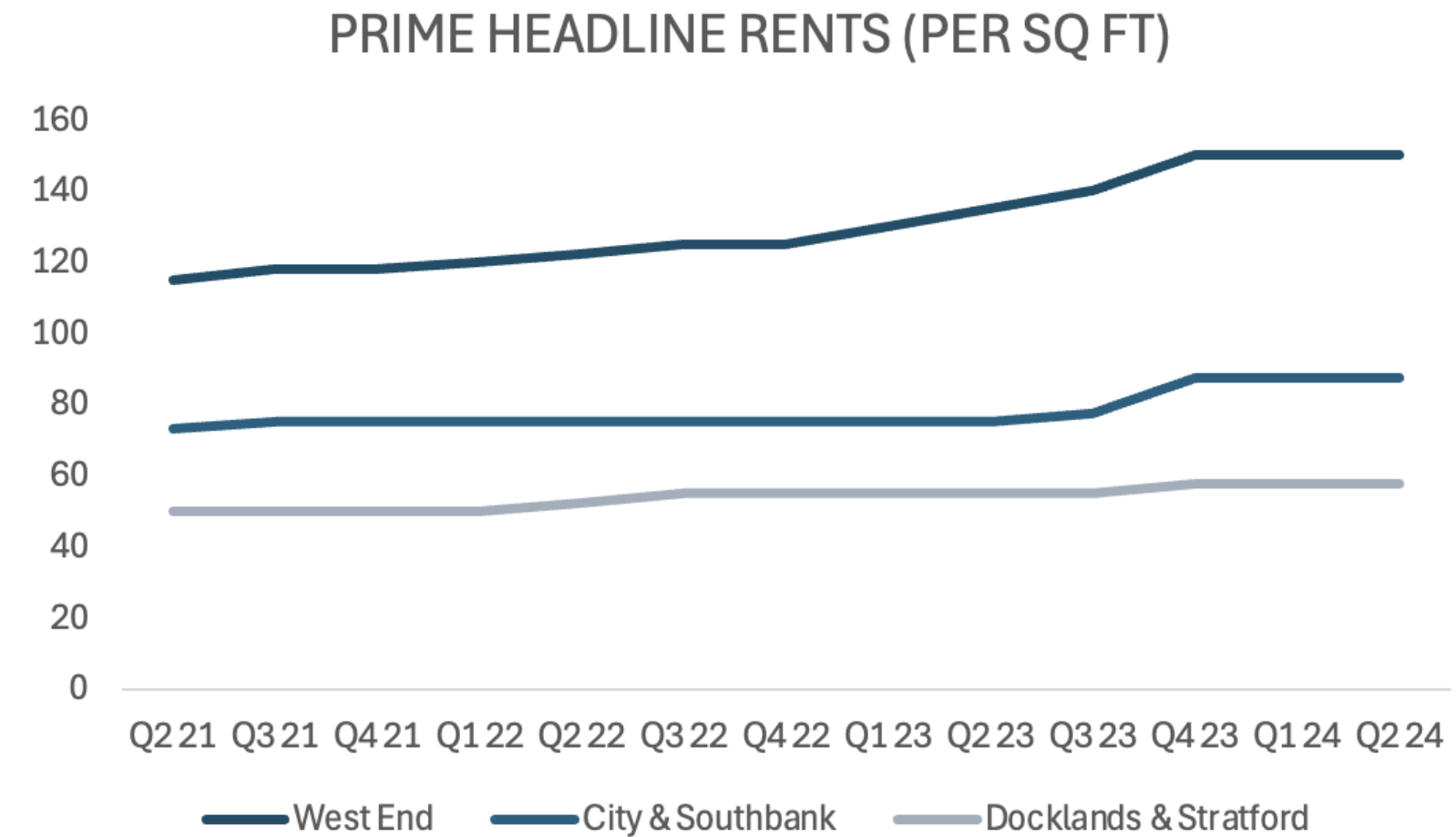
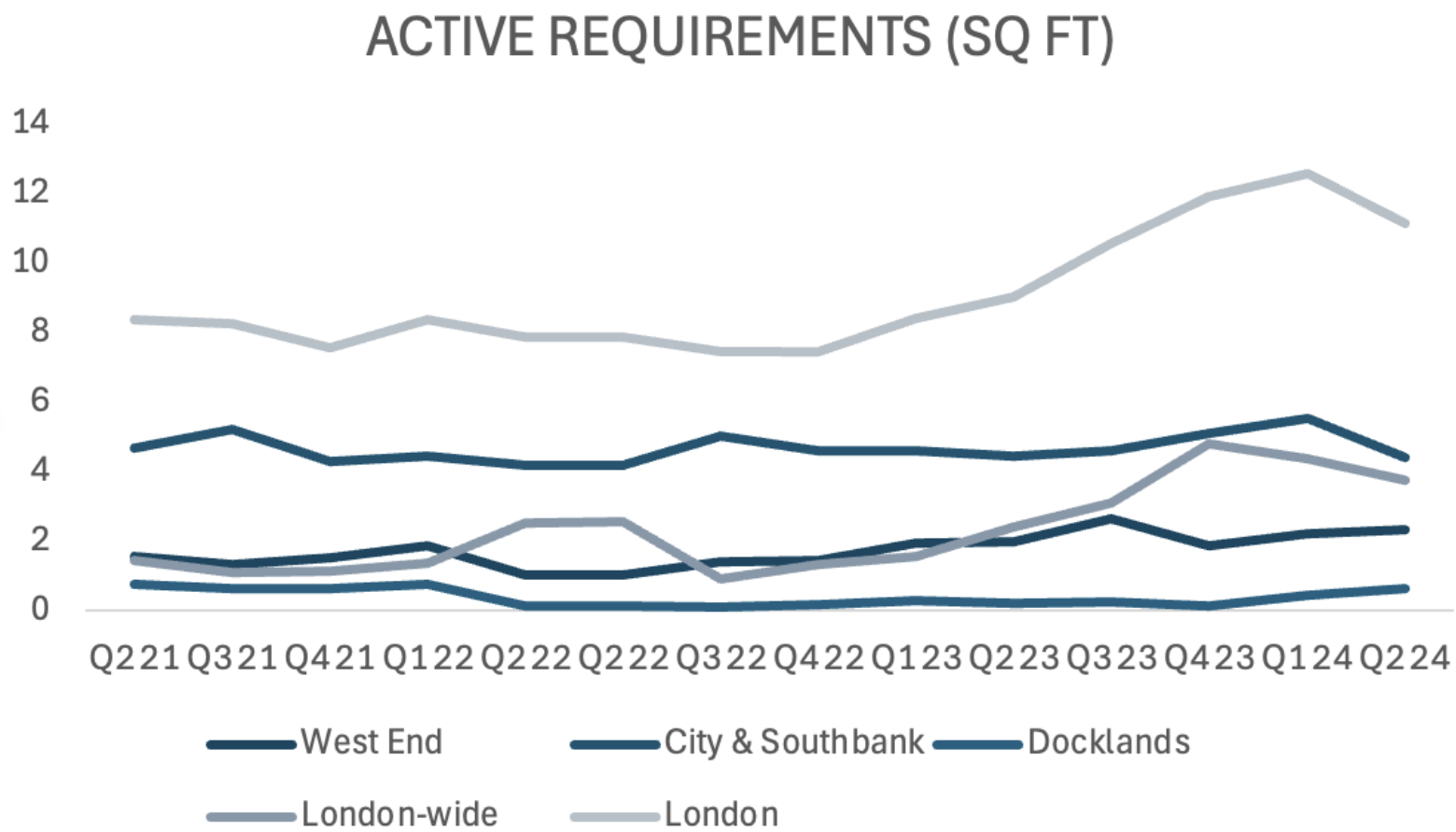
Take-up (Million sq ft)



Vacancy Rate



Demand - Active Requirement & Prime Headline Rent



Demand - West End remains stable, City shows strong recovery, while Docklands faces challenges with potential revival

The West End

- Vacancy rate & take-up remain stable
- Active requirements & Take-up were driven by rising demand for Class A

The City & Southbank

- A strong recovery driven by reduced political uncertainty controlled inflation.
- Tenant demand for professional services, particularly legal services, is robust.

Docklands

- Sustained low take-up levels reflect both limited availability
- Relative low and stable demand and inherently small market capacity.
- Despite a slight decrease in the vacancy rate and increasing in the active requirement, substantial under-construction supply suggests limited rental growth potential.
- Facing a potential paradigm shift due to the pandemic and hybrid work trends. However, new residential developments by major players like Canary Wharf Group hint at a revitalization of this office-centric district

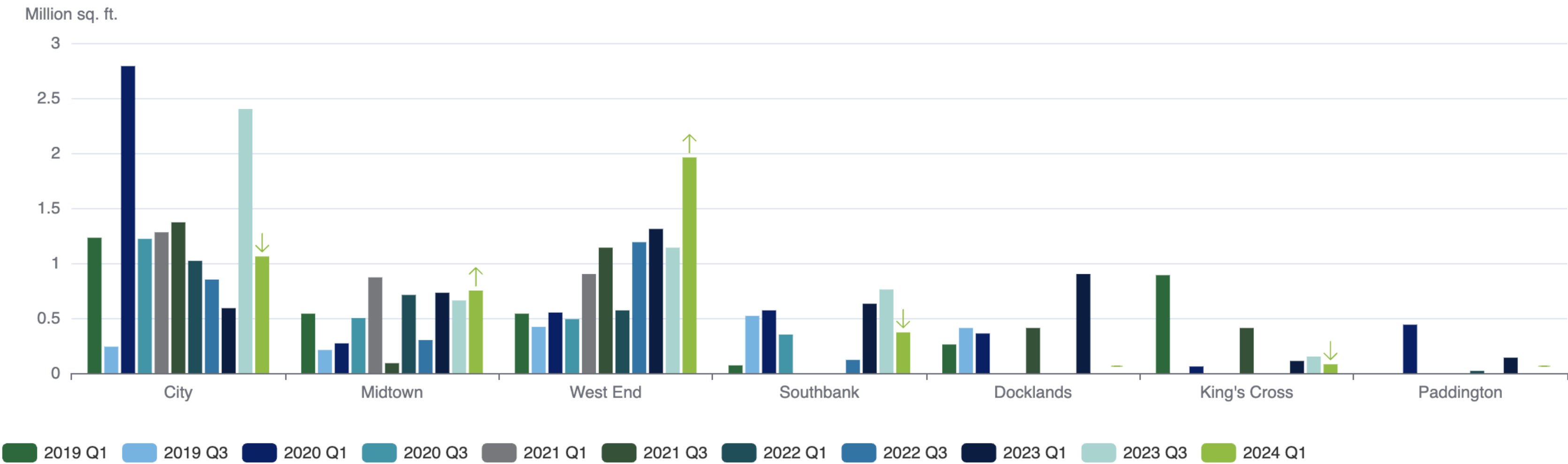
Supply – The overall supply peaked in 2023 and is showing a decrease in the coming years

Central London : Future Office Development Pipeline

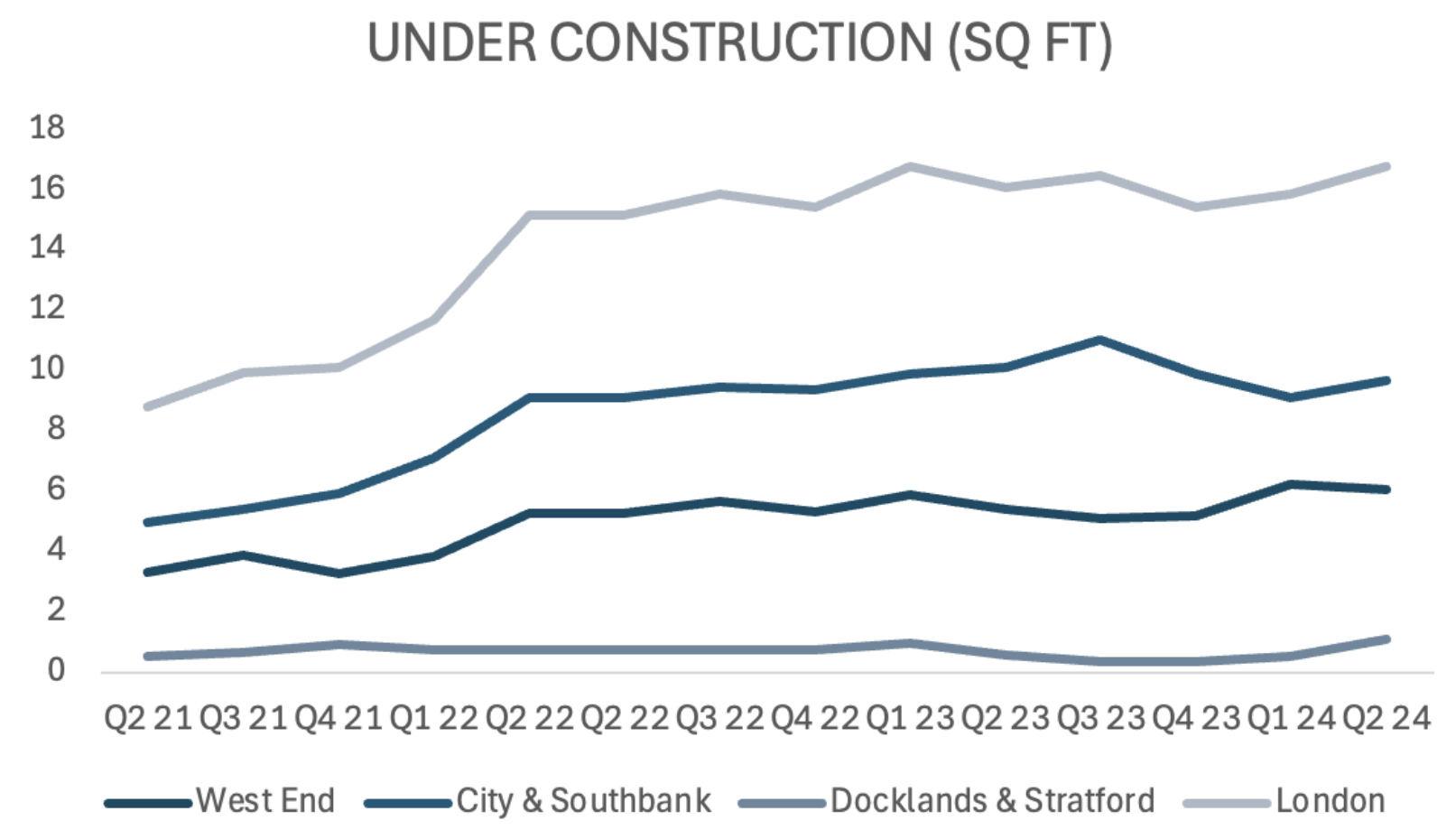
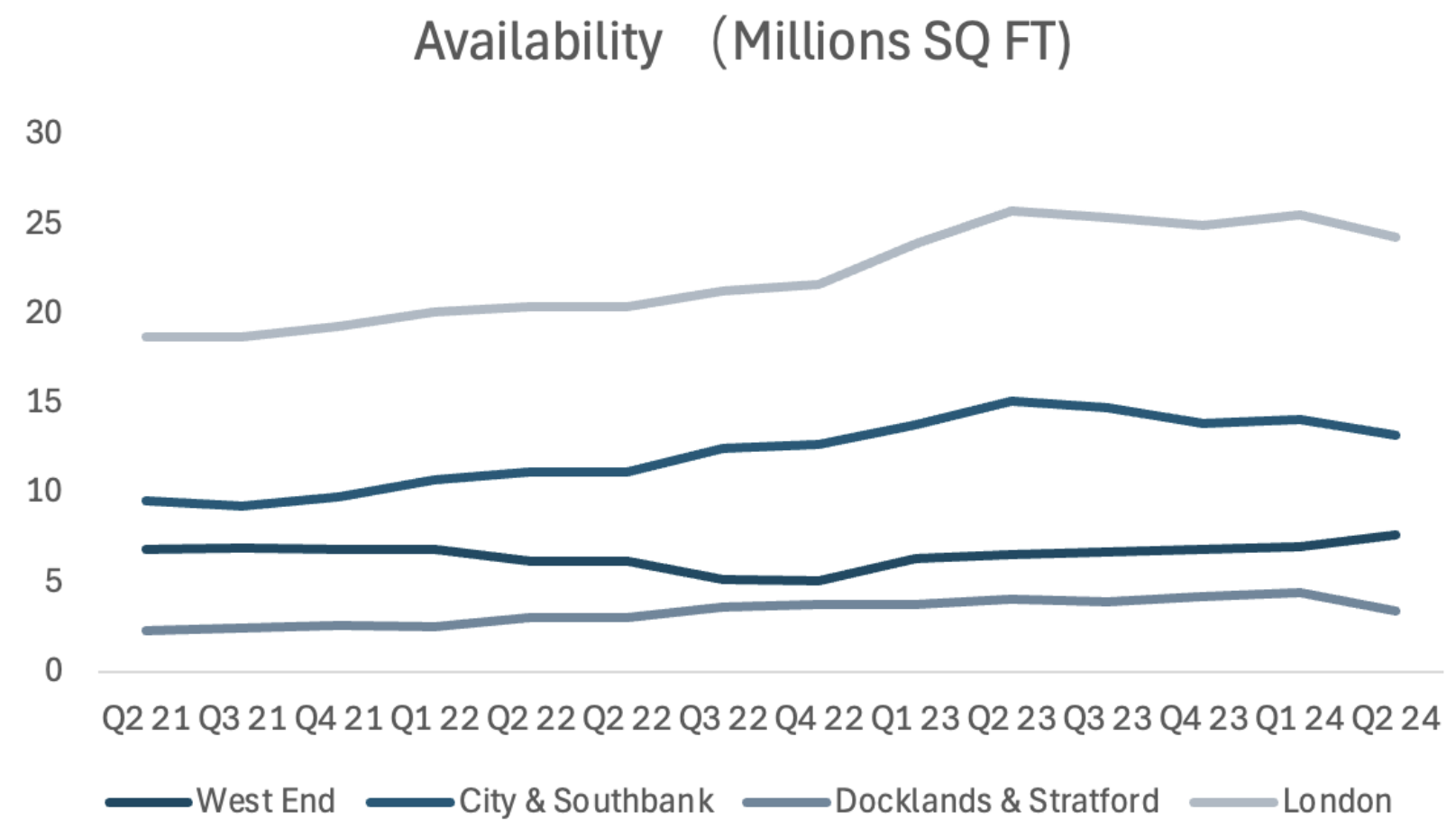


Supply – The West End leads in new construction but risks oversupply, while Docklands has paused development

Central London: Volume of New Starts by Submarket

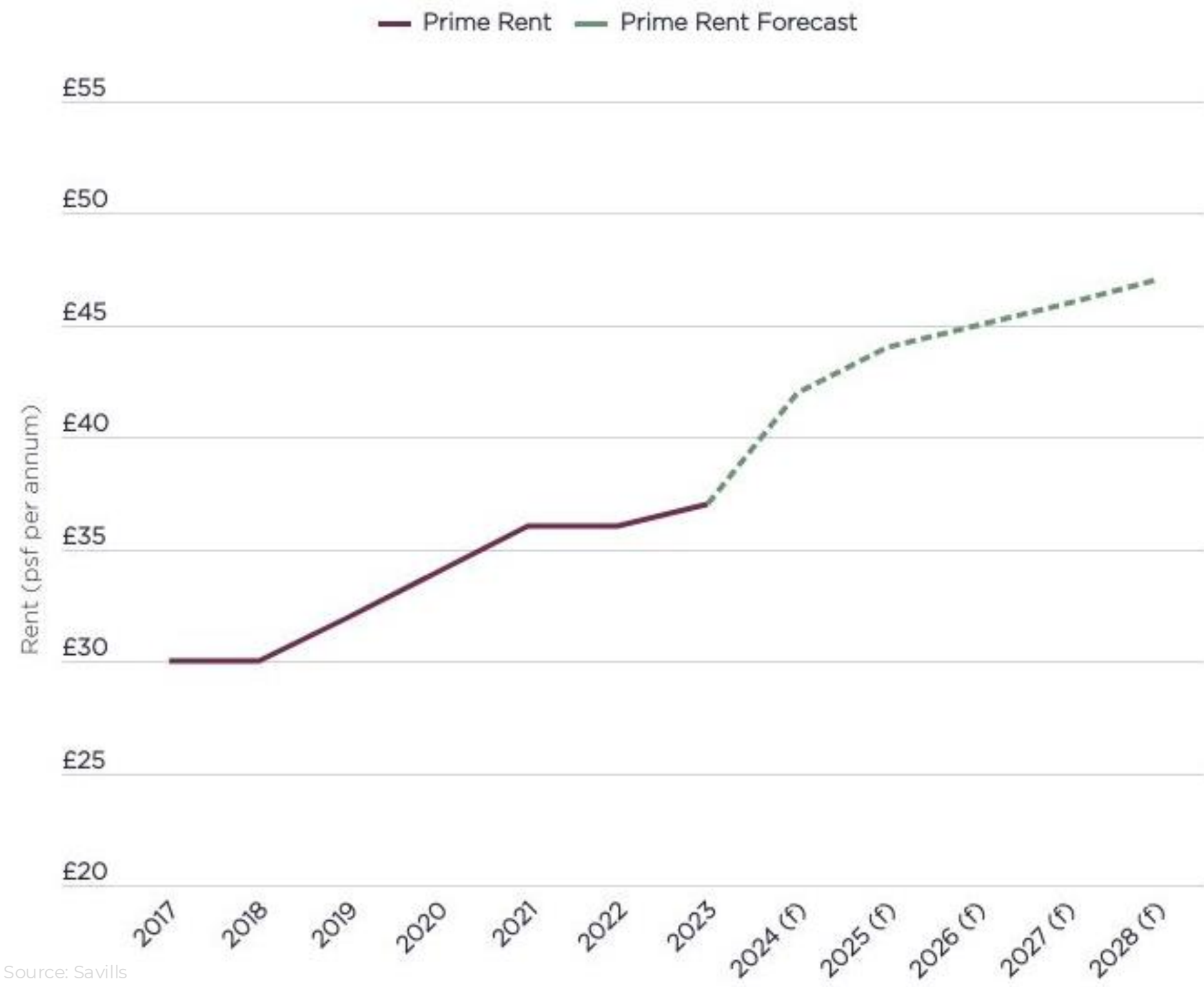


Supply - Office availability in London remains relatively high but showing declining despite growing under construction



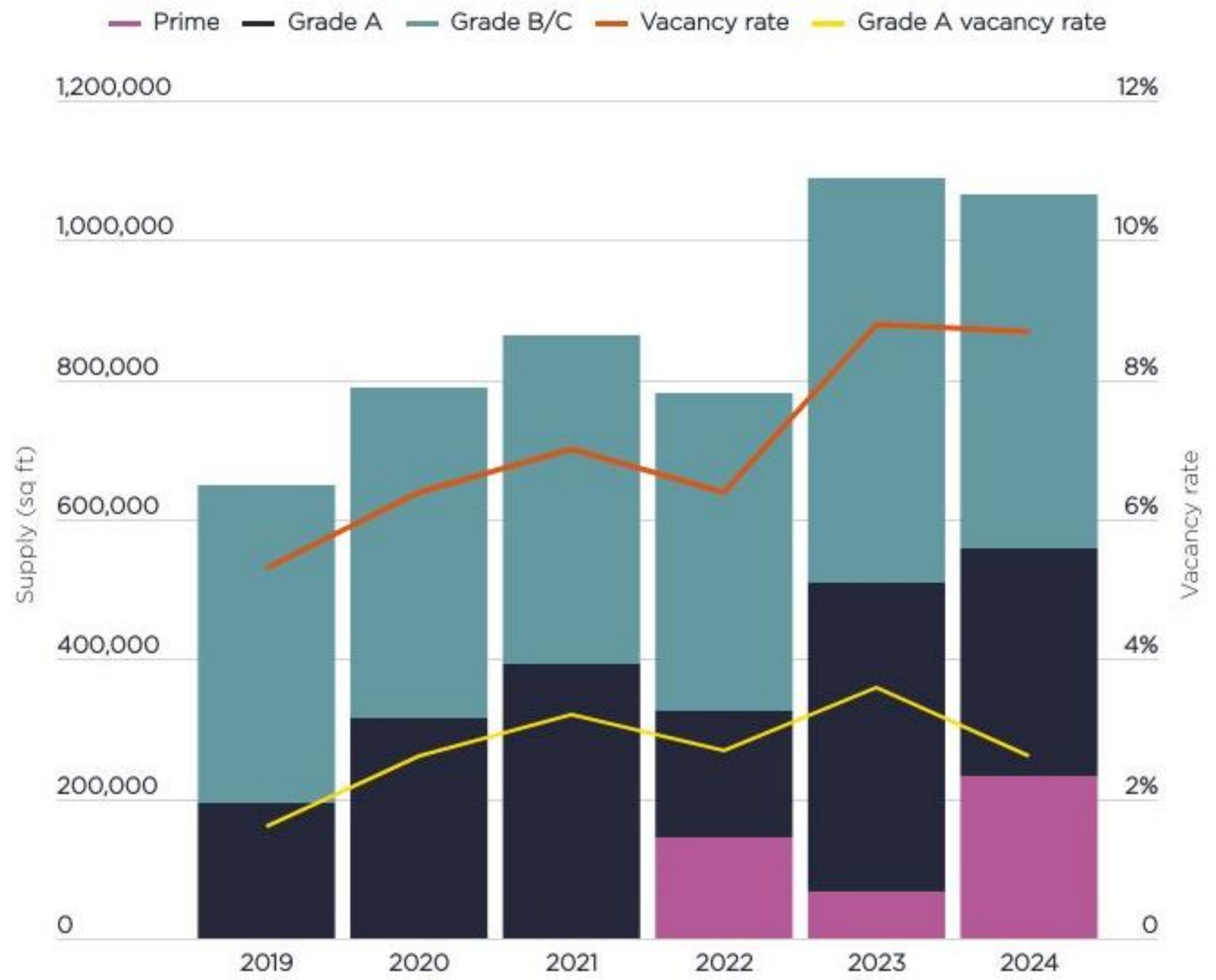
The tenants' willingness to pay for sustainability increases with rising rent and supply

LEED office rent (2017~2024)



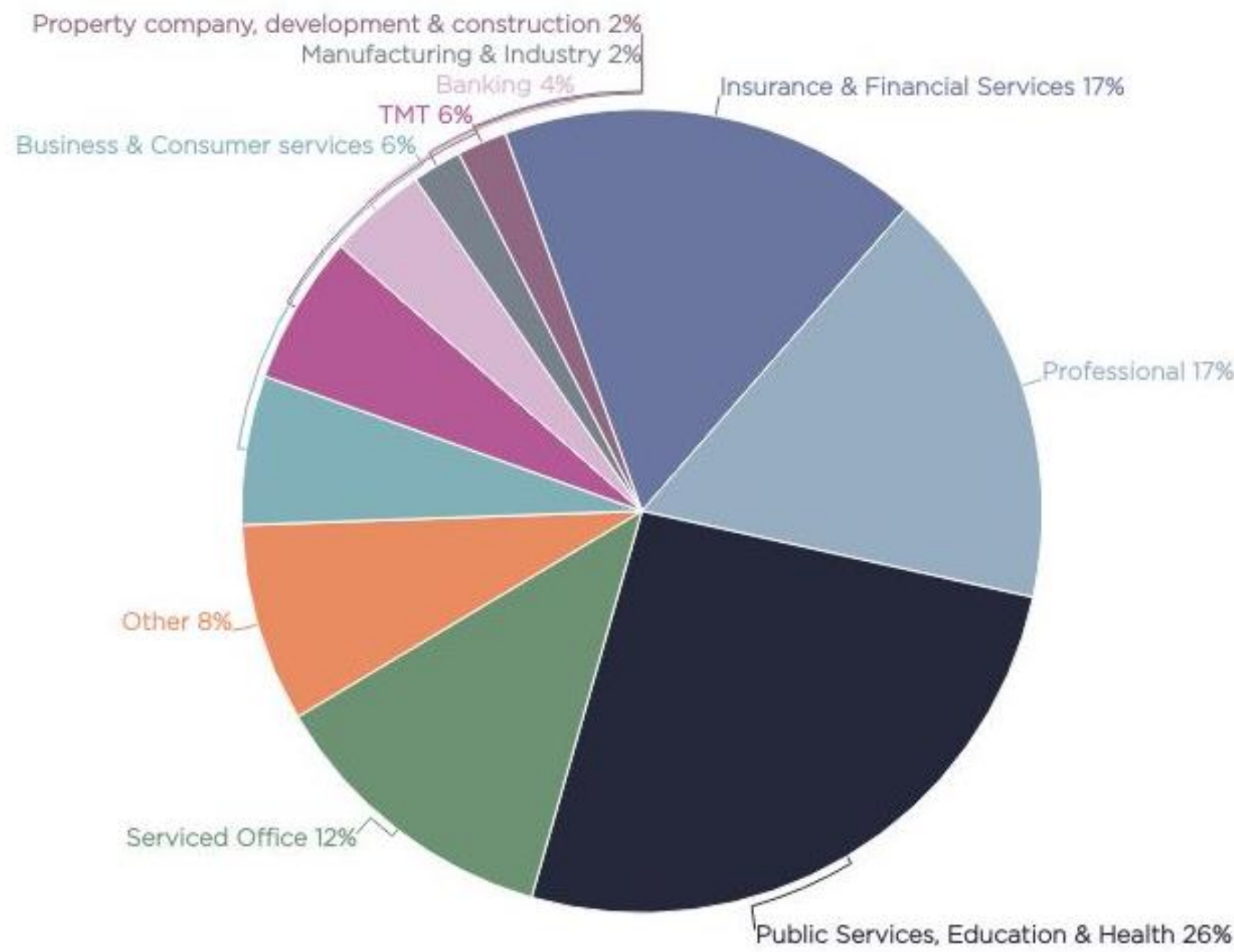
Source: Savills

LEED office supply (2019~2024)



Financial, professional, and public services sectors are the major tenants in sustainable buildings

LEED Buildings take-up by sectors



Key market data

	Data	Comparison to H1 2023	Comparison to H1 2019
Take-up H1 2024 (sq ft)	349,633	-13%	-20%
Grade A take-up H1 2024 (sq ft)	241,060	-25%	-26%
Deal count H1 2024	54	-14%	-19%
Average deal size (median) (sq ft)	2,426	-8%	+24%
Ten-year average H1 take-up (sq ft)	285,047	-	-
Q2 supply (sq ft)	1,065,549	+44%	+50%
Q2 Grade A supply (sq ft)	535,601	+133%	+207%
Q2 prime supply (sq ft)	223,182	+113%	N/A*
Prime headline rent (£psf per annum)	£38	+3%	N/A*

Recommendation: West End, Class A

Demand 2.32 million SF in active requirements
+12.6% to 10 – year quarterly average

Supply **+17.4% Y/Y in availability**
3rd in 3 submarkets

Vacancy **8.1% overall, 5.6% Class A**
1st of 3 submarkets

Price **£150 Prime headline Rent**
+70% to City, +160% to Docklands

Despite significant new construction activity and rising vacancy rates, **The West End’s** scarcity of Class A space combined with premium headline rents presents the best opportunity for development.

Thank You

